CITY ATTORNEYS' IMPARTIAL ANALYSIS OF MEASURE K
CITY OF MILPITAS

Measure K seeks voter approval of an ordinance that replaces the City's current business tax with a new tax based on gross receipts.

Currently, the City's uses a business tax formula that was adopted in 1976. It requires each business to pay an amount based on its relevant industry (e.g. "retail," "manufacturing," "beauty salon," etc.) and its number of employees. Neither the rates nor the categories of businesses have been updated since.

The proposed ordinance would replace the existing per-employee formula with a gross receipts model. Each business would pay a tax based on the gross receipts it earned from operating in Milpitas. Gross receipts (as defined in the ordinance) include all money that a business takes in, without deducting expenses. It does not include things like refunds or deposits that the business does not earn.

The table below shows the formula for the new tax. Each business would pay a flat rate ranging from $25 to $400 based on the tier in which its gross receipts fall. Additionally, businesses making more than $700,000 would pay a rate ranging from 0.025% to 0.035% of that portion of their gross receipts falling in the top three tiers. The flat rate would increase automatically each year with inflation.

BUSINESS TAX SCHEDULE		
Gross Receipts	**Flat Rate**	**Gross Receipts Rate**
Under $25,000	$25	
$25,000 to $100,000	$115	
$100,000 to $250,000	$250	
$250,000 to $700,000	$400	
$700,000 to $10,000,000	$400	$0.25 per $1,000
$10,000,000 to $25,000,000	$400	$0.30 per $1,000
Over $25,000,000	$400	$0.35 per $1,000

The ordinance also includes provisions governing the administration of the tax, including processes for annual collection, delinquencies, penalties and interest, appeals and refunds, inspection and audit, and enforcement. It specifies certain businesses, like non-profits, that are exempt from the tax. If approved, the new tax would go into effect January 1, 2028.

Proceeds of the new tax would continue to be (i) deposited in the City's general fund, (ii) annually audited and publicly reported in the City's annual audit, and (iii) available for any lawful municipal purpose. Most services provided by the City, such as police/fire/ambulance services, street and sidewalk repair services, and park and recreation services, are funded from the general fund. The general fund budget, and expenditures from the general fund, are controlled locally by the Milpitas City Council.

This measure was placed on the ballot by the City Council of the City of Milpitas.

A "yes" vote adopts the new gross receipts business tax to replace the existing tax.

A "no" vote rejects the new gross receipts business tax and keeps the existing tax.

The above statement is an impartial analysis of Measure K. If you desire a copy of the measure, please call the elections official's office at 408.586.3005 and a copy will be mailed at no cost to you.

/s Christian M. Curtis, City Attorney